B.E.T.Trade

Forex Basics

Course notes - Lessons 01.1 to 01.4

Pip value · Lot sizing · Leverage · Spread

WHAT'S INSIDE

Notes generated from the B.E.T.Trade Forex course. For the full lessons with video walkthroughs, see the Pro tier.

FOREX BASICS · LESSON 01.1

Pip Value

How much money one pip of movement actually makes you - and why without this number you're shooting blind even with the best setup in the world.

~7 min read

TL;DR - IF YOU'RE IN A HURRY

EUR/USD, 1 standard lot, 1 pip = $10. Burn this into your head. Everything else is just a derivation from this number via lot size, the pair, and the current rate.

Intro - why you should care

You hear "pip" in every other forex YouTube video. Someone shouts that they made *120 pips* and everyone claps. But what does 120 pips actually mean? **$120? $12? $1200?**

The answer: **it depends.** And that exact "it depends" is why you're here. Without pip value math you never really know what you're risking or earning. And a trader who doesn't know what they're risking isn't a trader - they're a gambler with a nice chart.

So let's break it down once and for all. After this lesson you'll be able to calculate in your head how much is moving in or out of your account on every tick, no calculator needed.

What it *actually* is

Pip = **P**ercentage **i**n **P**oint. Cute in the 1980s; today it's just "the last decimal that gets bet on". For most pairs that's the **4th decimal place**. For JPY pairs it's the 2nd decimal - the yen has a historically different convention.

```
EUR/USD: 1.0850 → 1.0851  =  move of 1 pip
USD/JPY:  150.20 →  150.21  =  move of 1 pip
GBP/USD: 1.2745 → 1.2746  =  move of 1 pip
```

On modern platforms (MT4/5, TradingView) you'll see one more decimal - **the 5th**, or 3rd for JPY. That extra digit is called a **pipette** and it's 1/10 of a pip. Useful for tracking spreads, but it won't dramatically affect your account.

The golden equation that *changes* the game

Pip value isn't calculated from the pair - it's calculated from **lot size**. A lot is essentially "position size" and has 4 standard tiers:

```
1 standard lot   = 100,000 units
1 mini lot       =  10,000
1 micro lot      =   1,000
1 nano lot       =     100
```

For pairs where **USD is the quote** (the second currency), like EUR/USD, GBP/USD, AUD/USD, the formula is beautifully simple:

```
Pip value = lot size × pip
         = 100,000 × 0.0001 = $10 per standard lot
         =  10,000 × 0.0001 = $1  per mini lot
         =   1,000 × 0.0001 = $0.10 per micro lot
         =     100 × 0.0001 = $0.01 per nano lot
```

EUR/USD, standard lot, 1 pip = 10 dollars. Memorize this - everything else flows from it.

Example - how much did I *make*?

Let's say you short EUR/USD with 1 standard lot from **1.0850 to 1.0810**. That's a **40 pip** move in your favor.

EXAMPLE 1 - A GOOD DAY

40 pips × $10/pip = **$400 profit**

Nice, right?

Now imagine the opposite scenario - you didn't manage risk, no SL, held through NFP. A reversal of 80 pips against you:

EXAMPLE 2 - A BAD DAY

80 pips × $10/pip = **-$800 loss**

Ouch. This is exactly the moment you start understanding that killzones, stop-loss, and position sizing aren't "suggestions" - they're life insurance for your account.

JPY pairs - heads up, *a different math world*

For JPY pairs the pip is taken from the 2nd decimal, not the 4th, which shifts everything. The formula picks up one extra step:

```
Pip value = (pip × lot size) / current rate
```

USD/JPY @ 150.20, STANDARD LOT

(0.01 × 100,000) / 150.20 = **$6.66** per 1 pip

So for JPY pairs 1 pip on a standard lot is roughly **$6-7**, not $10. That's why a USD/JPY position "doesn't bring as much" as EUR/USD for the same number of pips - the pip value is nominally smaller.

XAU/USD (gold) - the *special snowflake*

Gold quotes to 2 decimals and pip math here is way off normal rules. The simplest way to think about it: **$1 of gold movement = $1 of profit on 1 micro lot (0.01)**.

```
XAU/USD: 2350.00 → 2351.00  =  move of $1
1 micro lot (0.01) = $1
1 mini lot  (0.10) = $10
1 standard  (1.00) = $100
```

This is exactly why gold either makes you or breaks you. Those $30-40 swings during NY AM = **$3000-4000 per standard lot**. For risk management → smaller position, wider stop loss in dollars, more careful entry.

Why this has to go *under your skin*

Without pip value math:

- You can't calculate position size for a given stop-loss
- You don't know in dollars how much you're actually risking per trade
- Every entry is basically a blind shot

With pip value math:

- You set your **maximum risk per trade** (e.g. 1% of the account)
- You calculate **lot size** based on distance to SL
- You risk exactly what you decided - no surprises

PRACTICAL EXAMPLE - THE ACCOUNTING

Account $5000. Max risk 1% = $50 per trade. Stop loss is 25 pips from entry. What lot size?

$50 / (25 × $0.10) = $50 / $2.50 = 20 micro lots = 0.20 lot

This is the moment you graduate from gambling to a mechanical business.

Cheatsheet for your phone

Screenshot this and use it as a wallpaper until it clicks:

Pair	Standard	Mini	Micro
EUR/USD	$10	$1	$0.10
GBP/USD	$10	$1	$0.10
AUD/USD	$10	$1	$0.10
USD/JPY (@150)	$6.66	$0.67	$0.07
USD/CHF (@0.90)	$11.11	$1.11	$0.11
USD/CAD (@1.36)	$7.35	$0.74	$0.07
XAU/USD (gold)	$100	$10	$1

Last words - go *try it*

Pip value isn't a theoretical toy for nerds - it's the **basic measuring stick** for everything you do in the market. Without it you don't even know your own account, let alone the market.

Spend 10 minutes today. Open your **demo account**, put on a few positions with different lot sizes, and watch in the history window how P/L moves with each pip. After an hour you'll have it in your blood and you'll never fly blind again.

Once you've got it - you can continue. The next lesson is **Lot Sizing**, where we'll learn the golden formula for sizing positions by risk % of the account. That's the real gamechanger.

Lot Sizing

How much to open so you don't die. Literally the only equation that separates traders who survive their first year from those who end up with an empty account - regardless of what strategy they're using.

~8 min read

> **TL;DR - THE GOLDEN FORMULA**
> **Lot size = (Account × Risk %) / (SL pips × Pip value)**. Put it on your monitor. Without this, you're shooting blind with the same position whether your SL is 10 pips or 80 pips - and that'll burn your account before your strategy ever has a chance.

Why this is the *most important* equation, period

In the previous lesson (Pip Value) we figured out how much one pip of movement gives or takes from you. Now comes the reverse question - and it's way more important: **how much should I open so I risk exactly what I want?**

This is where most people break. They open 1 standard lot because "that's how it's done on YouTube". Monday they have a 15 pip SL and risk $150. Tuesday they have a 75 pip SL and risk $750. **Same lot, 5× different risk.** The account tanks on the second trade even if the strategy was perfect - and they'll blame the market.

> **Strategy can give you an edge. Lot sizing is what lets you survive long enough for that strategy to pay off.**

The *1-2 %* rule - where the number came from

Professional traders work with **1-2 % risk per trade**. Not because it's a magic number, but because the math doesn't lie:

- At **1 % risk** you'd need 100 losing trades in a row to zero the account
- At **5 % risk** only 20 trades are enough - statistically you'll hit that even with a 50 % win rate
- At **10 % risk** you lose half the account after 7 losses - a drawdown you'll never recover from mentally

Practical recommendation:

- Beginner: **0.5 %** - hurts less, you're learning
- More experienced: **1 %** - sweet spot for most
- Pro with a real edge: **1.5-2 %**
- Prop firm with a strict drawdown (Apex, TopStep): **0.3-0.5 %** - otherwise the daily loss will kill you

The golden formula - *let's break it down*

```
Lot size = (Account × Risk %) / (SL pips × Pip value)
```

Four variables, one result:

- **Account** - what you have in the account (balance, not equity)
- **Risk %** - what % you want to risk per trade (e.g. 0.01 = 1 %)
- **SL pips** - distance from entry to stop loss in pips
- **Pip value** - for 1 standard lot from the previous lesson (EUR/USD = $10)

The formula returns the **max lot size** so that hitting SL doesn't cost you more than the chosen X % of the account. If you use it for 0.5 standard lot, you risk exactly your 1 %. No surprises, no stress at losses.

Example 1 - *basic scenario*

SETUP

Account $5000. I want to risk 1 % = **$50**. EUR/USD short, entry 1.0850, SL 1.0875 = **25 pip SL**.

```
Lot size = $50 / (25 × $10)
        = $50 / $250
        = 0.20 standard lot  (20 micro lots)
```

Open **0.20 lot**. If it stops you out, you lose exactly $50. If the setup hits 2R (50 pips), you make $100. Predictable, controlled, mechanical.

Example 2 - *wider SL*, same risk

SETUP

Same $5000 account, same 1 % risk. But this time a swing setup, SL is **75 pips** from entry.

```
Lot size = $50 / (75 × $10)
        = $50 / $750
        = 0.066 lot  (about 7 micro lots)
```

See the difference? With a 3× wider SL you need a **3× smaller position** - otherwise you'd be risking $150 instead of $50. This is exactly the moment you understand that "lot size" isn't a strategy thing, it's a risk management thing.

Example 3 - *bigger account*, same logic

SETUP

Account $25,000. 1 % = **$250**. EUR/USD setup with 30 pip SL.

```
Lot size = $250 / (30 × $10)
        = $250 / $300
        = 0.83 lot  (8 mini lots)
```

Account grows → position grows automatically according to the formula. **You never have to "decide by feel"**. You just pick the risk % (a strategic decision); everything else is math.

JPY pairs - *a small tweak*

For JPY pairs pip value is ~$6.66 per standard lot (from the pip value lesson). The formula works the same, you just plug in a different pip value:

> **USD/JPY, ACCOUNT $5000, 1 %, SL 30 PIPS**
>
> Lot size = $50 / (30 × $6.66) = $50 / $199.80 = **0.25 lot**
>
> For JPY pairs you'll open a bit MORE than for EUR/USD at the same risk - because the pip value is lower.

XAU/USD (gold) - *careful*, different scale

Gold has a pip value of $100 per 1 standard lot (1.00). For small accounts that means working with very small positions - typically 0.01-0.05 lot:

> **ACCOUNT $5000, 1 %, SL ON GOLD = 300 PIPS ($3 MOVE)**
>
> Lot size = $50 / (300 × $100) = $50 / $30,000 = **0.0016 lot**
>
> In practice you round down to 0.01 and risk even less (~$30). Gold moves fast - better small, but you survive.

Most common *mistakes* you'll make

Cheatsheet - EUR/USD, *1 % risk*

Screenshot, stick it on your monitor. After a while you'll have it memorized:

Account	SL 10p	SL 25p	SL 50p	SL 100p
$500	0.05	0.02	0.01	0.005
$1,000	0.10	0.04	0.02	0.01
$2,500	0.25	0.10	0.05	0.025
$5,000	0.50	0.20	0.10	0.05
$10,000	1.00	0.40	0.20	0.10
$25,000	2.50	1.00	0.50	0.25
$50,000	5.00	2.00	1.00	0.50
$100,000	10.00	4.00	2.00	1.00

Last words - *get it under your skin*

Learn this **literally by heart**. Open your broker, switch to demo, and consciously calculate lot size before every position. After 50 trades you'll be doing it automatically in your head.

Lot sizing isn't a joke. It's the **only control mechanism you have against destroying your account**. Strategy can fail, the market can do anything unexpected, but if your position is correctly sized - you survive. And in trading, "surviving" is 80 % of the battle.

Once it's in your blood, you can move on to the next lesson - **Leverage**, where I'll explain why your broker offering 1:500 doesn't mean you should use it. Sneak peek: if you use lot sizing from the golden formula, leverage barely affects you. More on that next.

FOREX BASICS · LESSON 01.3

Leverage

The most misunderstood concept in trading. Marketing sells you 1:500 as an advantage. The truth is, if you use lot sizing from the golden formula, leverage is just a ceiling you almost never hit. Here's the whole story.

~7 min read

> TL;DR - PAYOFF FROM THE SNEAK PEEK
>
> **Leverage is a ceiling, not a recommendation.** If you use lot size from the previous lesson (1 % risk, formula), then 1:30 and 1:500 give you the exact same result - you risk the same, you open the same position, the broker just reserves a different margin. Leverage kills you only if you ignore lot sizing and use it as a multiplier.

The biggest myth in trading

YouTube is full of titles like "GET 1:500 LEVERAGE NOW!!!" and beginners think higher leverage = higher profit. Reality: **leverage by itself doesn't give you a single cent of extra profit**. Leverage is just capital efficiency - how big a position the broker lets you open relative to what you have in the account.

If two traders have the same strategy, the same $5000 account, the same 1 % risk, they open the same position (0.20 lot on EUR/USD) - one is at a 1:30 broker, the other at 1:500. After a year they have **identical results**. The only difference: the one at 1:500 could have had more concurrent positions or more wiggle room before margin call.

> **Leverage doesn't make money. It doesn't lose it either. It only changes how much capital the broker reserves when you open a position.**

What it *actually* is - the mechanics

Leverage is a ratio that tells you **how big a position you can open per unit of your own capital**:

```
1:30   → on $1 you can open a position worth $30
1:100  → on $1 you can open a position worth $100
1:500  → on $1 you can open a position worth $500
```

The capital the broker reserves for an open position is called **margin**. The formula is inverse leverage:

```
Margin = Position size / Leverage

EUR/USD, 1 standard lot = $100,000 notional
@ 1:30  → margin = $100,000 / 30  = $3,333
@ 1:100 → margin = $100,000 / 100 = $1,000
@ 1:500 → margin = $100,000 / 500 = $200
```

So at 1:500 the broker only "locks" $200 of your account to open a 1 lot position. The rest ($4800 on a $5000 account) you have as **free margin** - free capital for additional positions or to absorb adverse movement.

The *sneak peek* payoff

In the Lot Sizing lesson I promised you'd see why leverage doesn't affect a trader who knows how to calculate lot size. Here's that moment.

Let's take two traders, both with a $5000 account, both wanting 1 % risk, EUR/USD setup with a 25 pip SL.

TRADER A - EU-REGULATED BROKER (1:30)

Lot size = $50 / (25 × $10) = **0.20 lot**

Notional = $20,000. Margin requirement = $20,000 / 30 = **$667**

Free margin: $5000 − $667 = **$4,333**

TRADER B - OFFSHORE BROKER (1:500)

Lot size = $50 / (25 × $10) = **0.20 lot** (same)

Notional = $20,000. Margin requirement = $20,000 / 500 = **$40**

Free margin: $5000 − $40 = **$4,960**

At the stop both lose exactly **$50**. At 2R both make $100. **P/L difference: zero.**

The only difference is free margin. Trader B at 1:500 can have more concurrent positions or absorb a bigger unrealized drawdown without a margin call. For a theoretical swing trader with multiple open positions that could matter. For an intraday trader with single-position setups: irrelevant.

When leverage *kills*

Leverage kills only if you use it as a multiplier. A noob mistake example:

TRADER C - IGNORES LOT SIZING

Account $5000. 1:500 leverage. "I've got margin for 5 standard lots, so I'll open 5!"

Notional = $500,000. With a 10 pip move against = **5 × $100 = $500 loss**

With a 25 pip move against = **$1250 loss** = 25 % of the account on one trade.

After 4 such losses → account cut in half. After 8 → done.

See it? **Leverage didn't cause the loss - bad lot sizing did.** Leverage just enabled opening that huge position. At 1:30 you couldn't have opened 5 lots at all ($150,000 notional × 1/30 = $5000 margin = whole account locked).

Margin call & stop out - *when the broker closes your position*

Two thresholds you must know:

- **Margin level** = (Equity / Used margin) × 100 %
- **Margin call** = warning when margin level falls below a threshold (typically 100 % or 50 %)
- **Stop out** = broker force-closes positions when you drop even lower (typically 50 % or 20 %)

When margin level falls below stop-out, the broker starts **automatically closing your positions** - from biggest loss to smallest - until margin returns above the threshold. No permission, no warning. You end up with a realized loss and no chance to recover.

Regulation - *why EU is 1:30 and offshore is 1:500*

After 2018 ESMA (European Securities and Markets Authority) introduced caps in the EU/UK:

Instrument	EU/UK max	Offshore max
Major forex (EUR/USD...)	1:30	1:500+
Minor forex (EUR/AUD...)	1:20	1:300+
Gold (XAU/USD)	1:20	1:200+
Index CFD (DAX, NQ)	1:20	1:200+
Crypto CFD	1:2	1:50+

Reason: protect retail traders from themselves. Brokers like Pepperstone, IC Markets have both an EU entity (1:30) and an offshore entity (1:500). If you know what you're doing and use lot sizing, it makes no difference which you pick. If you don't know what you're doing, ESMA limits will save your account.

Prop firms - *a different story*

Prop firms give you a "funded" account in the range of $25k-$200k. To keep you from blowing it, leverage is typically capped:

- **FTMO** - Forex 1:100, Index 1:30, Gold 1:50, Crypto 1:2
- **MyForexFunds** - Forex 1:100, Gold 1:50
- **FundedNext** - Forex 1:100
- **The5ers** - Forex 1:30 (European firm)
- **Apex / TopStep (futures)** - no "leverage", they use tick-based margin

At prop firms leverage is the **least of your problems** - their daily loss and max drawdown limits will kill you long before margin level. Trust the lot sizing formula and you'll be fine.

Common mistakes

Cheatsheet - *margin requirement* for 1 standard lot

Pair / instrument	1:30	1:100	1:500
EUR/USD	$3,333	$1,000	$200
GBP/USD	$4,250	$1,275	$255
USD/JPY (@150)	$3,333	$1,000	$200
XAU/USD (@2350)	$11,750	$2,350	$470

Margin is calculated from notional value in the base currency. For exotic pairs and commodities it can differ - always verify with your broker.

Last words - *stop worrying about leverage*

If you take one thing from these three lessons: **leverage is the least important thing you should spend a single minute on**. Pick a regulated EU broker (Pepperstone EU, IC Markets EU, Tickmill EU), take their default 1:30, and focus on the thing that actually matters - **correct lot size on every trade**.

Profitable traders never talk about leverage. They talk about risk per trade, about setups, about psychology. Leverage is a topic from the marketing departments of offshore brokers who need to hook people who don't know what they're talking about.

Next lesson - **Spread**. There we'll break down the only "hidden" cost the broker charges on every trade, why it changes by session and pair, and how to factor it into your entries so it doesn't ruin your mathematical edge.

FOREX BASICS · LESSON 01.4 (FINAL)

Spread

The hidden fee the broker takes on every single trade. Sometimes it's cents, sometimes hundreds of dollars. Here you'll learn when spread doesn't matter, when it eats your entire edge, and how to pick a broker that doesn't smoke your account through the quietest fee in the game.

~6 min read

TL;DR - NO FLUFF

Spread = bid/ask difference = the fee you pay on every entry. Every trade starts negative by the size of the spread. On EUR/USD that's usually $1-$10 per lot. On exotic pairs or during news, $50-$200. A scalper without the right broker loses the war before strategy gets a chance to show an edge.

What it *actually* is

When you look at the price of EUR/USD, there is no single "one price". There are always two - **bid** (what the broker buys from you) and **ask** (what the broker sells to you). The difference is the **spread**, and that's exactly the amount you pay to open a trade.

```
EUR/USD bid: 1.08495   (sell)
EUR/USD ask: 1.08502   (buy)
                ----------
Spread:         0.00007 = 0.7 pip
```

You open long at ask (1.08502), close it at bid - if you short, the opposite. The moment you open, you're 0.7 pip in the red - at 1 standard lot that's **-$7**. Until price moves 0.7 pip in your favor, you've just covered the spread. After that you start earning.

Spread is the one tax you pay on every entry. No exceptions. Whether you win or lose.

Types of spreads - *which you want and which you don't*

- **Fixed spread** - always the same regardless of market. Sounds nice; in practice it's a market-maker broker that earns on the difference between interbank and what they charge you. Avoid.
- **Variable / floating spread** - changes with liquidity and session. Standard at 90 % of brokers. Tight during London/NY overlap, wide during Asian/rollover.
- **Raw spread + commission** - ECN model. Broker gives you near-zero spread (0.0-0.3 pips) and charges a fixed commission (typically $3-$7 per standard lot round-trip). For serious traders the best choice.

What affects *spread size*

Example - *when spread eats your edge*

SCENARIO - SCALPER ON EUR/USD

Strategy: 100 trades per month, average target 8 pips, SL 5 pips.

Broker A: 1.5 pip spread, no commission (STP)

Broker B: 0.1 pip spread + $7 commission per RT lot (ECN raw)

At 1 standard lot, 100 trades:

Broker A: 100 × 1.5 pip × $10 = **-$1500** in spreads

Broker B: 100 × 0.1 pip × $10 + 100 × $7 = $100 + $700 = **-$800** total cost

Difference: **$700 per month**. In a scalping strategy with 1.5R targets that's often the difference between profit and loss.

Example - *swing trader*, where it barely matters

SCENARIO - SWING TRADER ON EUR/USD

5 trades per month, average target 80 pips, SL 30 pips.

Broker A: 1.5 pip spread → 5 × $15 = **-$75 per month**

Broker B: 0.1 pip + $7 → 5 × $1 + 5 × $7 = **-$40 per month**

Difference: $35 per month. Given big targets and few trades, spread barely moves the total. A swing trader can afford worse spreads.

Spread and your *SL / R:R*

This is what most beginners ignore. Your real SL is **wider by the spread** than the one you see on the chart:

```
Real risk = (SL distance + spread) × pip value × lot
```

PRACTICAL IMPACT

EUR/USD short, entry @ 1.0850, SL @ 1.0860 = **10 pip SL**

Spread = 1 pip. You're actually risking **11 pips**, not 10.

That's **+10 % hidden risk** versus what you planned.

With lot sizing from the golden formula, correct for this: plug (SL + spread) into the denominator instead of bare SL.

When and where *spread blows out*

- **17:00 NY (rollover)** - spread blow-up for 1-3 minutes, EUR/USD from 0.5 to 5-10 pips. Never open a position then.
- **Asian session (20:00-02:00 NY)** - non-Asian pairs (EUR/USD, GBP/USD) have wider spreads due to lower liquidity.
- **Friday evening + Sunday evening** - around the weekend open spreads are elevated until liquidity recovers.
- **NFP, CPI, FOMC, ECB** - 30 seconds before and after release the spread widens 10-30×. Pros stand aside.

- **Bank holidays** - when Tokyo or London market is closed, liquidity on EUR/JPY/GBP pairs drops dramatically.

Cheatsheet - *typical spreads* at a good broker

Values during the London-NY overlap (the best time) at a good ECN broker:

Pair	Raw (ECN)	Standard (STP)	Market maker
EUR/USD	0.0-0.3 pip	0.8-1.5 pip	2-3 pip
GBP/USD	0.3-0.6 pip	1.2-2.0 pip	2.5-4 pip
USD/JPY	0.2-0.5 pip	1.0-1.5 pip	2-3 pip
EUR/GBP	0.4-0.8 pip	1.5-2.5 pip	3-5 pip
GBP/JPY	1.0-2.0 pip	3-5 pip	5-8 pip
XAU/USD	10-20 pips	25-40 pips	40-80 pips
USD/TRY (exotic)	30-60 pips	80-150 pips	200+ pips

With raw spread, factor in commission (~$7 per RT lot). STP/MM has no extra commission, but total cost is higher.

Common mistakes

Practical *recommendations*

- **For intraday + scalping**: ECN raw spread broker (IC Markets Raw, Pepperstone Razor, Tickmill Pro). Pay the commission but save on spread.
- **For swing trading**: STP broker with 1-1.5 pip spread is plenty. No need to pay commission.
- **Avoid** market makers with fixed spread or "no commission" marketing - the fee is there, just hidden inside a wider spread.
- **Timing**: schedule major setups in the London-NY overlap (13:00-17:00 NY) when liquidity is highest and spreads tightest.

Forex Basics - *done*

That's the whole Forex Basics section. In your head you've got:

- **Pip Value** - how much 1 pip gives or takes from you
- **Lot Sizing** - golden formula for sizing by risk %
- **Leverage** - why it's just a ceiling, not a recommendation
- **Spread** - the hidden fee on every trade

That's the foundation. Without this you go nowhere. With this you can move on to the next - **Major Pairs**, where we break down EUR/USD, GBP/USD, and USD/JPY: their characteristics, when they move, how correlations work, and which pair to trade in which session.

Take a break, eat something, come back with a clear head, and let's keep going.